O.V. Shanthakumari vs Kokila on 27 November, 1990

Equivalent citations: 1991ACJ656, ILR1990KAR4324

JUDGMENT

Venkatachala, J.

1. QUESTION, which has come up for decision by us, the Full Bench, by Reference Order dated 6-9-1990 of a Division Bench made under Section 7 of the Karnataka High Court Act, 1961, Is the following:

> "Whether the decision of this Court in H.T. Bhandary v. Muniyamma stands impliedly over-ruled in view of the decisions of the Supreme Court in Rajendra Kumari v. Shanta Trivedi and in Jyotsna Dey and Ors. v. State of Assam and Ors. [1987(1) ACJ 172]?"

The Reference Order since discloses that the decision of this Court in M.F.A.No.708/1990 (GENERAL MANAGER, KARNATAKA STATE ROAD TRANSPORT CORPORATION v. KHATUJABEE ILR 1990 KAR 3240 was the cause for referring the said question for decision by the Full Bench, it will be useful to advert to it.

2. The decision in Khatujabee's case is that of a Division Bench of this Court rendered in an appeal where the award made by a Motor Accidents Claims Tribunal ("the Tribunal") in a fatal accident's action, had been questioned as awarding excessive compensation. Fatal accident's action before the Tribunal related to the death in a motor accident of Kashimsab, a Blacksmith, aged 40 years. The Tribunal awarded a sum of Rs. 2,70,000/- as compensation under the Head 'Loss of dependency' in that action. How that sum was awarded as compensation under the Head 'loss of dependency' needs mention - wages earned per day by the deceased in his job as a Blacksmith was taken as Rs. 30/-; out of Rs. 30/- a sum of Rs. 5/- was deducted towards deceased's personal expenses per day and the balance of Rs. 25/- was regarded as deceased's contribution towards maintenance of his dependants; 'loss of dependency' of the dependants of the deceased per year was consequently found as Rs. 9,000/-; that sum of Rs. 9,000/-was capitalised by multiplier '30' to arrive at the figure of Rs. 2,70,000/- which became awardable under the Head 'loss of dependency'. In other words, 30 was taken as the multiplier to capitalise the annual loss of dependency of the deceased's dependants for arriving at the figure of Rs. 2,70,000/- as the total loss of dependency.

That award of compensation was confirmed in appeal by deducting 20% towards life's uncertainties, out of the amount of 'loss of dependency'.

3. Main contention raised in the said appeal since related to the making of the award by the Tribunal following the decision of this Court in BHANDARY'S case even though that was the decision which

was being followed by the Motor Accidents Claims Tribunals all over the State and this Court in making awards in fatal accident's actions, the question which came up for consideration by the Division Bench was the following:

> "Whether we shall continue to apply the ratio decidendi or the multiplier arrived at by this Court in Bhandary's case or ignore it in the light of the decision of the Supreme Court not only in Jyotsna's case (supra) but reiterated in the case of Smt. Rajendra Kumari and Anr. v. Smt. Shanta Trivedi and Ors."

According to our learned Brethren - M.P. Chandrakantaraj Urs and M. Ramakrishna, JJ., who constituted the Division Bench, which heard the said appeal, the decision rendered in Bhandary's case (supra) by this Court's Division Bench consisting of His Lordship M.N. Venkatachaliah., J (then in this Court) and His Lordship D.R. Vithal Rao, J., though was "very lengthy" because of the pains-taking exercise undertaken by their Lordships, it had ceased to be a binding precedent on the Motor Accidents Claims Tribunals after the decisions of the Supreme Court in JYOTSNA DEY'S 1987(1) ACJ 172 case (supra) and RAJENDRA KUMARI'S case (supra) "in terms of Article 141" of the Constitution.

The above view expressed by the Division Bench of this Court in Khatujabee's case (supra) as regards the decision in Bhandary's case (supra), which was being followed by all the Motor Accidents Claims Tribunals in the State and this Court as a valuable guide in determining the amount of compensation under the Head Moss of dependency' in fatal accident's actions with no scope for making an arbitrary award in that regard, having become a matter of concern to another Division Bench of this Court consisting of our learned Brethren - S.A. Hakeem and B.N. Krishnan, JJ., while considering the appeal before it, gave cause to the formulation of the question set out in the beginning of this Opinion and referring it for decision by the Full Bench.

4. As the decision on the question referred for decision by the Full Bench has to necessarily depend upon the mandate contained in Article 141 of the Constitution, we shall refer to the nature and the scope of that mandate before we refer to the decisions in Bhandary's case, Jyotsna Dey's case and Rajendra Kumari's case to find out the binding effect of each of them as a precedent.

> (1) Law declared by the Supreme Court is undoubtedly binding on all Courts in the Country not merely because of the hierarchal system of Courts existing in our Country with the Supreme Court at the apex, but also because of Article 141 of the Constitution, which mandates that "the law declared by the Supreme Court shall be binding on all Courts within the territory of India.
>
> (i) In SHAMU RAO v. UNION TERRITORY, PONDICHERY , the Supreme Court, while considering the question as to when its decision can be taken as binding for future cases, observes thus:
>
> "It is trite to say that a decision is binding not because of its conclusion, but in regard to its ratio and principle laid down therein."

(ii) In MADHAV RAO SCINDIA v. UNION OF INDIA , the Supreme Court, while considering the question as to when it can be regarded to have made a full exposition of law on a question, observes thus:

> "It is difficult to regard a word, a clause or a sentence occurring in a Judgment of this Court, divorced from its context, as containing a full exposition of the law on a question, when the question even did not fall to be answered in the Judgment."

(iii) In A.D.M. JABALPUR v. S. SHUKLA the Supreme Court, quoting from its earlier decision "an obiter cannot take the place of the ratio. Judges are not oracles", said of its observations in other decisions, thus:

> "....it must be remembered that when we are considering the observations of a Judge to the precise issues before him and td confine such observations, even though expressed in broad terms, in the general compass of the question before him, unless he makes it clear that he intended his remarks to have a wider ambit."

(iv) in AMAR NATH OM PARKASH v. STATE OF PUNJAB , the Supreme Court recalled with approval the following passage of what Lord Morris found in HERRINGTON v. BRITISH RAILWAYS BOARD(1972) 2 WLR 537 as regards how Judgments are made in the setting of the facts of a particular case and the peril involved in treating such utterances as a legislative enactment, thus:

> "There is always peril in treating the words of a speech or Judgment as though they are words in a legislative enactment, and it is to be remembered that judicial utterances are made in the setting of the facts of a particular case."

(v) in P.A. SHAH v. STATE OF GUJARAT , a Constitution Bench of the Supreme Court, while dealing with the question as to what is it in a decision that is binding as a precedent and what is the duty of the Court while applying It, states thus:

> "A decision ordinarily is a decision on the case before the Court while the principle underlying the decision would be binding as a precedent in a case which comes up for decision subsequently. Hence, while applying the decision to a later case, the Court which is dealing with it should carefully try to ascertain the true principle laid down by the previous decision. A decision often takes its colour from the questions involved in the case in which it is rendered. The scope and authority of a precedent should never be expanded unnecessarily beyond the needs of a given situation."

(2) What emerges from the aforesaid observations made by the Supreme Court in its decisions, may be summarised thus:

> A decision of a Court being that rendered in the setting of the facts of a particular case is ordinarily regarded as a decision on such case. But, a decision of a Court

> becomes "the law declared" - a binding precedent for future cases not because of its conclusion but in regard to its ratio or principle laid down therein. A word, a clause or a sentence occurring in a decision (Judgment) of the Supreme Court, cannot be divorced from Its context and be regarded as that containing a full exposition of the law on a question which did not even fall to be answered in such decision. As an obiter cannot take the place of the ratio, observations or remarks of a Judge in a decision (Judgment) are to be confined to the precise issues considered there, even though expressed in broad terms unless it is made clear therein that such observations or remarks were intended to have a wider ambit. There is a peril in treating the words in a decision of a Court as a legislative enactment.

5. We shall now proceed to refer to the decisions in Bhandary's case (supra) of this Court, Jyotsna Dey's case (supra) and Rajendra Kumari's case (supra) of the Supreme Court to find out whether there is any ratio or principle laid down in those decisions which could be regarded as law declared by the concerned Courts, as would have a binding effect on Courts in the lower tiers in deciding cases before them.

(1) Bhandary's case (supra), as already pointed out, is a decision of this Court rendered by a Division Bench consisting of His Lordship M.N. Venkatachaliah, J., (then in this Court) and His Lordship D.R. Vithal Rao, J. There, the Division Bench was concerned with an appeal filed against an order of a Motor Accidents Claims Tribunal awarding a compensation of Rs. 55,000/- in a fatal accident's action. Out of the compensation so awarded, a sum of Rs. 48,000/- related to 'loss of dependency' of the wife of the victim of the fatal accident, who was, at the time of the accident, aged 50 years. The Tribunal, in its order under appeal, had estimated the annual contribution of the deceased to his wife in a sum of Rs. 2,400/-. By treating that sum as annual loss of dependency of the wife, the Tribunal had capitalised it by 20 years purchase value to arrive at the figure of Rs. 48,000/- as the total 'loss of dependency'. Choice of the multiplier made by the Tribunal for capitalising the annual loss of dependency of the wife, the dependent of the deceased, being found as one not based on uniform principle governing such choice, the Division Bench felt the need to evolve a uniform principle which could be of guidance in the choice of the multiplier, thus:

> "We have come across a number of awards of the Tribunals which, from the point of view of the choice of the Multipliers, do not appear to be reconcilable with any uniform principle as to their choice. Some Tribunals, perhaps on the analogy of Land Acquisition valuations on capitalisation method, appear to consider that a multiplier of '10' is the maximum permissible having regard to the current rates of interest turned in by safe investments. Some others, as in the present case, have employed multipliers of '20' or thereabouts even in cases where the deceased was 50 years of age. This question, therefore, presents aspects of some general importance."

(i) In its endeavour to evolve a uniform principle as to the choice of multiplier needed for capitalising annual loss of dependency of the dependants in a fatal accident's action, the Division Bench explains the law governing (a) assessment of damages (compensation) in fatal accident's actions and (b) approaches (methods) of such assessment, thus:

(a) Assessment of damages (compensation):

"In a fatal accident's action damages must be assessed once and for all. The measure of damages is the pecuniary loss suffered by the dependants by reason of the death. The pecuniary loss means the actual pecuniary benefit, in terms of money, goods and services, of which the dependants have been, in fact, deprived, whether the benefit was a result of a legal obligation or what may reasonably be expected to take place in the future. It is the amount of the pecuniary advantage which it is reasonably probable that the dependants would have received if the deceased had remained alive. The purpose is to put the dependants in the same position, as far as money could do, as if the deceased had lived his natural span of life, subject to all its uncertainties and vicissitudes. But the contingencies of the future need not necessarily be adverse and need not inevitably tend to scale-down the multiplicand or the multiplier. All contingencies of the future are not adverse; all vicissitudes need not necessarily be harmful.

The following words of Vindeyer, J., of the Australian High Court in Bresatz v. Przibilla [(1962) 108 C.L.R. 541 @ 544] in this behalf are worth recalling:

"The generalisation that there must be a 'scaling down' for contingencies seems mistaken. All 'contingencies' are not adverse; All 'Vicissitudes' are not harmful. A particular plaintiff might have had prospects or chances of advancement and increasingly remunerative employment. Why count the possible buffets and ignore the rewards of fortune? Each case depends upon its own facts. In some it may seem that the chance of good fortune might have balanced or even outweighed the risk of bad."

Each case must therefore be examined on its own peculiarities. But there is no compensation for sorrow and grief and for sentimental or emotional or compassionate considerations. But, different considerations might arise if the impact of the death and the effect of the manner of its occurrence go beyond grief and suffering and produce what in medical parlance is called 'Nervous Shock' and are causative of 'personality-changes' which then becomes a distinct head of compensatable injury involving further considerations as to foreseeability of that effect and duty owed by the tort-feasor to the person so affected."

(b)Approaches (Methods) of assessment of damages (compensation):

"Indeed there were two approaches in assessing damages, the first referred to Davies v. Powell Duffryn Associated Collieries Limited (1942 A.C. 601) and other in Nance v. British Colonnelial Electric Railway Company Ltd, (1951 A.C. 601). In DAVIES' case Lord Wright said:

"....The starting point is the amount of wages which the deceased was earning, the ascertainment of which to some extent may depend on the regularity of his

> employment. Then there is an estimate of how much was required or expended for his own personal and living expenses. The balance will give a datum or basic figure which will generally be turned into a lump sum by taking a certain number of years' purchase. That sum, however, has to be taxed down by having due regard to uncertainties, for instance, that the widow might have again married and thus ceased to be dependant, and other like matters of speculation and doubt...."

These observations are now to be read subject to the later innovation that the deductions for the uncertainties and vicissitudes etc., are generally made by the adjustment in and moderation of the multiplier itself.

In Nance's case (supra), Viscount Simon stated:

> "Under the first head - indeed, for the purposes of both heads - it is necessary first to estimate what was the deceased man's expectation of life if he had not been killed when he was:
>
> (Let this be 'X' years and next what sums during these X years he would probably have applied to the support of his wife. In fixing X, regard must be had not only to his age and bodily health, but to the possibility of a premature determination of his life by a later accident..."
>
> "...Then a deduction must further be made for the benefit accruing to the widow from the acceleration of her interest in his estate on his death intestate in 1949 (she came into $1,000 one third of his estate, X years sooner than she would otherwise have done) and of her interest in sums payable on a policy of $1,000 on his life; and a further allowances must be made for a possibility which might have been realized if he had not been killed but had embarked on his allotted span of X years, namely, the possibility that the wife might have died before he did...."

The DAVIES' method or the multiplier method as it has come to be known is now accepted as an appropriate working method; though, however, in principle, both the methods are essentially directed towards the same end."

(ii) The Division Bench, thereafter, refers to various factors which individually and cumulatively operate on the 'multiplier' either to scale it down or scale it up by observing that it is neither possible nor advisable to enumerate exhaustively all criteria that influence the choice of the multiplier in every case. Anxiety of Courts to arrive at a "just" compensation on consideration of all matters peculiar to, or characteristic of, the individual case and its circumstances has been pointed out. Attention is invited to Section 110E of the Motor Vehicles Act to emphasise how Courts are enjoined thereunder to arrive at "just" compensation. Having, thus, made known that the choice of appropriate multiplier is intended to arrive at "just" compensation awardable for loss of dependency of dependants of the deceased in a fatal accident's action, due regard being given to all matters peculiar to, and characteristic of, the individual case, the Division Bench considers the views found

on the subject in celebrated treatises and authoritative pronouncements of Courts, to ascertain the variety of factors, which influence the choice of the basic multiplier and the choice of the operative multiplier. Expressing its awareness that in deciding upon the basic multiplier, one should not take a multiplier which reflects the current high rates of interest, the Division Bench concludes that a multiplier, which reflects rates of returns appropriate to stable currency, of 5% return should be adopted. As a consequence, it finds that the basic multiplier could be taken as 20. After taking the basic multiplier as 20, it points out the need to make several deductions out of the compensation to be estimated by application of such basic multiplier. Then, it states as to how the elaborate and cumbersome process of estimating the compensation by application of the basic multiplier and then making several deductions out of it on various counts for arriving at the just compensation could be avoided and "just" compensation could be arrived at by merely scaling down or adjusting the basic multiplier itself. The Division Bench's discussion of the matters runs thus:

> "Out of the compensation estimated on such a multiplier, several deductions have got to be made on various counts. The deductions are made by an appropriate scaling-down and adjustment of the multiplier itself. Some of the primary considerations that operate to bring down the multiplier - the enumeration is not exhaustive-are:
>
> (a) that the deceased might not have lived up to the full age of his life-expectancy and that the allowance will necessarily have to be made for the uncertainties and vicissitudes of his own life; (b) that ever if the deceased had lived up to his normal life expectancy, the possibility and prospect that he might not have been able to be in gainful occupation owing to illness, injury or other causes; (c) that dependants in view of their own age or state of health, might themselves not live upto the age upto which the period of dependency was expected to last; (d) that the value of the dependency so far as the dependants were concerned, might have the prospect of being replaced by some other source as in the case of the remarriage of the dependant-widow. This, however, requires far greater degree of reassurance as to the reality of that prospect; (e) that in the case of damages in a fatal accidents action, unlike the cases of compensation for acquisition of land the corpus of the fund itself must be spent-out over the period of dependency; and (f) some deductions have to be made on account of the fact that there is a lumpsum payment.

How each of these considerations is to be sounded in terms of money is indeed an exercise beset with many conjectures and imponderables. The degree and extent of the scaling-down is subject to individual situational variations.

Referring to the adjustments in the multiplier for these contingencies, Mc Gregor on 'Damages' states:

> "...In addition to the discount because the award is by way of lumpsum, it is common practice for the Courts to make a further discount on account of general contingencies of life; it is said that the multiplier must suffer some redaction to cater

> for the possibility that the plaintiff will die earlier than expected, the possibility that he will meet with some accident that will keep him out of work for a lengthy period or even result in his premature retirement, and the like..."

But it is also said that the chances are equal either way; but that the chances of shorter-life, it is said, is of greater significance than that of longer life.

In Charlesworth and Percy on 'Negligence' (7th Edition) Pages 998 and 999, it is said:

> "....This multiplier necessarily must remain a flexible figure for the judge to decide and usually is reasonably determined by having regard to the deceased's expectation of life, his age and health, the probable duration of his earning capacity, the possibility of his earning capacity being increased or decreased in the future the expectation of life of the dependants and the probable duration of the continuance of the deceased's assistance to the dependants, throughout their joint lives. Much of the calculation necessarily must be in the realms of hypothesis 'and in that region arithmetic is a good servant but a bad master', since there are so often many imponderables."

Referring to the requirement that the fund has to be spent out over the period during which the dependency was expected to last. Lord Guest observed in Taylor v. O'Connor (1977 A.C.J. 290):

> "...I return then to the 'multiplier'. The aim of this exercise is to provide a figure which is proportional to the injury resulting from the death. It is not to provide such a sum as would, at current rates of interest leave the widow with the income she has lost. This would put her into a better position than she would have been apart from the death because at the end of the day she would still have the capital sum left. It is anticipated that the capital will be gradually reduced over the years to provide for her support. In my opinion, the multiplier is intended to provide in a rough measure adequate compensation for the loss sustained. No precise method can be expected. It is well hallowed in practice, and depends in some measure on the expertise of judges accustomed to try these cases....."

In Clerk and Lindsell on 'Torts' (14th Edition) states para 364, page 235, para 430, page 284:

> "...It has to be borne in mind that damages must be assessed on the basis that the total sum will be exhausted at the end of the period contemplated and that during that period the plaintiff will draw upon both the income derived from the investment of the sum awarded and upon the capital itself; this means that the multiplier will be considerably less than the number of years taken as the period of the loss...."
>
> "....Most importantly, also, the multiplier must be such that the capital sum awarded, together with the income earned by its investment, will be exhausted by the end of the period intended to be covered. This means that the calculation must be made on

> the supposition that the dependants will spend each year a part of the capital as well as the whole of the income which they receive from so much of the capital as remains. It follows that the number of years purchase taken as the multiplier will be considerably less than the number of years taken as the duration of the dependency...."

So far as the deduction to be made for lumpsum payment, Supreme Court, in Madhya Pradesh State Road Transport Corporation, Bairagarh, Bhopal v. Sudhakar and Ors. (1977 A.C.J. 290):

> "...But in assessing damages certain other factors have to be taken note of which the High Court over-looked such as the uncertainties of life and the fact of accelerated payment that the husband would be getting a lumpsum payment which but for his wife's death would have been available to him in driblets over a number of years."

(iii) Full exposition of the law on the choice of multiplier adverted to hereinbefore, having been made by the Division Bench, what is called as 'the operative multiplier' is evolved and laid down as a uniform principle in the making of the choice of the multiplier, thus:

> "Whether each of the considerations at (a) to (f) in Para 17 should be evaluated individually or whether they should be cumulatively evaluated and the multiplier appropriately scaled down is merely a difference of approach. The essentially conjectural nature of the exercise is not either way reduced. However, it appears to us that all these factors should, cumulatively, be reckoned and suitable reduction of the basic multiplier from '20' is to be made. The multiplier so reduced is the operative multiplier. If such a 'multiplier' is employed, then there would be no need to further scale-down the amount of compensation so arrived, as, indeed, all the relevant factors would have been put into the scales in the process of the choice of this operative multiplier itself.
>
> All these factors, cumulatively, may be taken to bring down the multiplier by 20% which would perhaps be a just measure of deduction for all the contingencies and considerations relevant to the matter in an average case. This brings down the basic-multiplier to the operative multiplier of 16. This multiplier of 16 would be the highest applicable. If the deceased-person was, say, between 18 and 22 years this multiplier 16 would be appropriate. It will naturally come down accordingly as the age of the deceased at the time of death increases. As a rough and ready estimate it may broadly be estimated that the multiplier goes down by one count for the increase of the age of the deceased by every five years. The generalisations are merely broad-guidelines and are abstractions from generality of cases.
>
> But the all-important aspect, which cannot, indeed, be sufficiently over-emphasised is that these guidelines are appropriate, essentially, to 'average' cases. Cases with special facts of their own would require to be considered on the particularities of the individual case. How far the facts and circumstances of an individual case

> approximate to the generalities prescribed for "average" cases and how far departures are necessary and called for by situational differences of each case is an important and, indeed, a delicate task Courts are confronted with."

(iv) How and when the circumstances of the dependants as to their old age and ill-health operate as limiting factors in adjusting the operative multiplier, are also pointed out by the Division Bench, thus:

> "One other factor which requires to be kept in mind while on the topic of the multiplier, is that the circumstances of the dependants themselves, would operate as limiting factors. Even in a case where the deceased was 20 years of age, his life expectancy would be irrelevant for the purpose of estimating the period over which dependency would be expected to last, if the dependants, say the parents, are themselves over the age of 60. The multiplier would then be appropriate to the age of the dependants and not of the deceased. So are the factors of the state of health of the deceased person and of the dependants themselves which are again limiting factors. In C.K. Subramonia Iyer's case Supreme Court observed:
>
> "...There can be no exact rule for measuring the value of the human life and the measure of damages cannot be arrived at by precise mathematical calculations but the amount recoverable depends on the particular facts and circumstances of each case. The life expectancy of the deceased or of the beneficiaries whichever is shorter is an important factor. Since the elements which go to make up the value of the life of the deceased to the designated beneficiaries are necessarily personal to each case, in the very nature of things, there can be no exact or uniform rule for measuring the value of human life....."

(v) How the choice of multiplier could be made in 'average cases' on the 'operative multiplier principle, is demonstrated by the Division Bench, thus:

> "...the multiplier of 16 appropriate to a deceased person of 20 years would be on the assumption that his earning-span of life would extend to the age of 65 and beyond. The multiplier is not conditioned by the life-span indicated in the Life Expectancy Tables. It is conditioned and guided by the actual earning span. If the earning span of life of a person of 20 years is only up to 60 years, then the multiplier would come down by one count from 16 to 15. If the earning span is up to 55 years it comes down to 14. But, after the pension of, say, half the usual income up to the rest of the life-span of, say, 65 years, then the multiplier of 14 would go up by one more count, to 15. Similar considerations apply to other age groups with necessary changes to the multipliers appropriate to those age groups. These are the average cases and, as stated earlier, subject to the particularities of individual cases and situational modifications."

(vi) 'Operative multiplier' principle evolved and laid down hereinbefore for making the choice of multiplier is thereafter, applied by the Division Bench for deciding the case before it.

(vii) The afore-stated 'operative multiplier' evolved by the Division Bench of this Court in making the choice of multiplier for capitalising the annual loss of dependency to determine the compensation payable to the dependants of the deceased in a motor accident, being the ratio and principle laid down in the decision on a full exposition of the law on the question falling for its consideration, it becomes the law declared by the High Court and a precedent for future cases to be decided by the Tribunals.

(2) Jyotsna Dey's case (supra) is a two Judges' Bench decision of the Supreme Court. It has been rendered on 10-12-1986. That case related to be fatal accident's action where the widow and two minor children of the victim of a motor accident had claimed compensation before a Tribunal by pleading that the victim when died was aged 40 years, his monthly income from a Cycle-repairing shop and Confectionary shop was Rs. 400/- and he would have lived upto the age of 70 years. The Tribunal had found the age of the victim as 45 years at the time of his death, on evidence. So also, having regard to the evidence, it had found his contribution to the family to be Rs. 150/- per month and the life-expectancy of the victim to be 60 years. It awarded consequently compensation in a sum of Rs. 25,000/-. In an appeal preferred against the said award of the Tribunal by the claimants seeking enhanced compensation, the High Court enhanced the compensation by Rs. 200/-. It had fixed the compensation proceeding on the basis that the life-span of the victim was 65 years and the short-fall of life as a result of the accident was 20 years. In deciding as to what was the "just" compensation, what has been said by the Supreme Court is the following:

> "The victim's age at the time of death has been fixed at 45 as against the case made out by the claimants that it was 40. We do not propose to disturb this finding. The span of life should have been taken to be 70 in view of high rise in life expectancy. In the absence of any material evidence on behalf of the State, the evidence of the widow about the extent of contribution should have been accepted. A modest estimate should have led the High Court to fix it at Rs. 250/- per month. On such basis, the total compensation works out to be 25 x Rs. 3,000/- Rs. 75,000/-. In consideration of the fact that the compensation is being paid at a time and uncertainties of life are a relevant factor, we reduce the compensation by Rs. 15,000/-. The net amount is thus fixed at Rs. 60,000/-. Out of it, Rs. 25,200/- has already been paid. Thus the balance is Rs. 34,800/-. For convenience we round it off at Rs. 35,000/-."

(i) The Division Bench of this Court, which was deciding Khatujabee's case (supra), refers to the conclusions of the Supreme Court found in the above excerpted portion of Its decision in Jyotsna Dey's case, thus:

> (1) If evidence on oath regarding the income of the deceased by his widow goes unchallenged, then that evidence must be accepted as the income of the dependant-claimants through the earnings of the victim of the accident;

(2) That the multiplier should be arrived at by deducting the age of the victim on the date of his death from the life span expectancy of a normally healthy Indian which in that case has fixed at 70. Therefore, the multiplier of 35 was adopted;

(3) That regard being had to uncertainties of life a deduction must be made out of the lumpsum award which we find is at 20% of the amount awarded as lumpsum compensation.

It has assumed those conclusions to be principles laid down by the Supreme Court in answer to questions involved in them, to wit, (1) presumptive value to be given to the evidence on contribution of earnings of victim of a motor accident to the victim's dependants; (2) presumption to be drawn as regards span of life of the victim of a motor accident as 70 years and as a rule, to deduct the actual age in years of the victim at the time of the accident to arrive at the figure of multiplier and as a rule, to adopt such multiplier to capitalise the annual loss of dependency of the dependants of the victim in arriving at the loss of their 'total dependancy'; and (3) as a rule, to deduct 20 per cent out of the lumpsum compensation fixed in a fatal accident's action as payable to the dependants of the victim towards uncertainties of the victim's life. Further, according to the Division Bench, the said principles being 'law declared' by the Supreme Court on the questions involved in them were binding on all Courts in India, as mandated under Article 141 of the Constitution.

(ii) For the reasons to be stated presently, we find it difficult to agree with the Division Bench, with respect to it, that the afore-mentioned conclusions reached by the Supreme Court in the decision of Jyotsna Dey's case (supra) are Maw declared' by it under Article 141 of the Constitution on the questions or matters involved in them.

(iii) Jyotsna Dey's case (supra), adverted to earlier, reveal that it was a fatal accident's action by a widow and two minor children of the victim of a motor accident in which compensation was claimed before a Motor Accidents Claims Tribunal pleading that the victim, when died, was 40 years; his monthly income from a Cycle-repairing shop and Confectionery shop was Rs. 400/-; and he would have lived upto the age of 70 years but for the accident. The Tribunal, on appreciation of evidence placed before it, found the age of the victim as 45 years at the time of the accident; his monthly contribution to the family as Rs. 150/-; and his life-expectancy as 60 years. The findings so recorded, led the Tribunal to award Rs. 25,000/- as compensation to the claimants. When enhancement of compensation was sought before the High Court by the claimants by preferring an appeal, it was found by the High Court that the victim would have lived upto the age of 65 years but for the accident. Short fall in life of the victim being calculated by the High Court as 20 years, it calculated the compensation payable to the dependants of the victim as Rs. 30,000/- but made a cut of Rs. 10,000/- out of it. As a result, it enhanced the compensation payable to the claimants by Rs. 200/-. When the matter went up in appeal before the Supreme Court seeking grant of enhanced compensation, it has been found by the Supreme Court, as becomes apparent from the afore-excerpted portion of its Judgment, that the span of life of the victim concerned before it is taken as 70 years having regard to high rise in life-expectancy. Short fall in life of the victim is taken as 25 years; a modest estimate of victim's contribution to the family is regarded as Rs. 250/- in the absence of contrary evidence. The total compensation is worked out on factual data available, as 25 x

3000 = Rs. 75,000/-. That amount has been reduced by Rs. 15,000/- as being on account of uncertainties of life. The net amount payable to the claimant is accordingly fixed as Rs. 60,000/-.

(iv) The conclusions reached by the Supreme Court on various matters before fixing the net amount of Rs. 60,000/- payable as compensation to the claimants can, as seen from the Judgment, only be regarded as conclusions reached in the setting of facts of the particular case it considered. No occasion did, in fact, arise for the Supreme Court in the facts of the said case to lay down principles or declare law on general questions -

(a) whether, as a rule, the normal span of life of every victim of a motor accident should be taken as 70 years;

(b) whether the multiplier to be used for capitalising the annual dependency of the dependants of a deceased to arrive at the 'total loss of dependency' can only be the normal span of life of 70 years minus the age in years of the deceased at the time of the accident;

(c) Whether, as a rule, the evidence of the widow of a deceased as to the contribution made by the latter to the family must always be accepted as true;

(d) Whether any fixed percentage has to be deducted towards uncertainties of life from out of the compensation awardable to claimants in a fatal accident's action.

(v) Besides, genera! questions as those stated above, were not even raised on behalf of the parties for consideration by the Supreme Court muchless did the Supreme Court intend to make any exposition of the law on them, as seen from the Judgment.

(vi) Therefore, even if we have regard to law settled by the Supreme Court itself as to when alone conclusions reached by it in a decision could be regarded as a ratio or principle evolved therein, as could be a binding precedent under Article 141 of the Constitution, to which we have adverted, the afore-mentioned conclusions of the Supreme Court found in its decision in Jyotsna Dey's case (supra) cannot be regarded as 'law declared' under Article 141 of the Constitution, If what we have stated is the true position of law, the decision of the Supreme Court in Jyotsna Dey's case (supra) cannot be regarded as having impliedly over-ruled the law declared by a Division Bench of this Court in Bhandary's case (supra) as to the "operative multiplier" principle applicable in making the choice of multiplier for fixing the total loss of dependency of the dependants of a victim of a motor accident to fatal accident's action.

(3) Coming to Rajendra Kumari's case (supra), it is again a two Judges' Bench Decision of the Supreme Court. It has been rendered on 20-2-1989. That case related to a fatal accident's action where a widow and a daughter had claimed before a Motor Accidents Claims Tribunal compensation in a sum of Rs. 1,00,000/-. But, the Claims Tribunal awarded a sum of Rs. 10,000/-as compensation. Though an appeal and cross-objections were fifed in the High Court by the claimants and the opposite parties respectively in respect of that award, they were dismissed. The Supreme Court, on consideration of the whole matter, granted the claim of the claimants for compensation in

a sum of Rs. 1,00,000/- stating thus:

> Even at the modest computation, the contribution of Hari Singh towards his family could not be less than Rs. 500/- per month, that is, Rs. 6,000/- per year. Taking the normal span of life to be 60 years, Hari Singh would have lived for another 35 years. It is apparent that the appellants have been deprived of more than a lac of rupees and, accordingly, their claim for Rs. 1 lac on account of compensation was quite reasonable. Both the Tribunal and the High Court were not justified in assessing the amount of compensation payable to the appellants at Rs. 10,000/- only."
>
> Conclusions of the Supreme Court, as are found in the above excerpted portion of the Judgment in Rajendra Kumari's case (supra), are apparently those reached in the peculiar facts of the case before it. Such conclusions cannot be regarded as 'law declared' under Article 141 of the Constitution, in that, the tests laid down by the Supreme Court itself as to when its conclusions in a decision could be regarded as law, to which we have adverted earlier, cannot be satisfied.
>
> (I) One of the learned Judges constituting the two Judges' Benches which decided Jyotsna Dey's case and Rajendra Kumari's case is common. The view of the Division Bench of this Court in Khatujabee's case (supra) that the span of life of an Indian should be taken as 70 years has to be regarded as 'law declared' by the Supreme Court in Jyotsna's case, becomes difficult of acceptance as in that event, the latter two Judges' Bench decision in Rajendra Kumari's case (supra) where the span of life of an Indian is taken as 60 years has also to be regarded as 'law declared' by the Supreme Court and as one to be followed as a precedent being that rendered at a later point of time. The Division Bench, in Khatujabee's case (supra), when was confronted with this situation by reason of a contention raised in this regard, had to inevitably concede to the position that 'span of life' about which statements of the Supreme Court are found in Jyotsna Dey's case (supra) and Rajendra Kumari's case (supra), cannot be regarded as 'law declared' by it, by stating thus:
>
> "....It was contended by the Corporation Counsel Sri Balakrishna that there is no uniform approach made in regard to arriving at the multiplicand based on the life expectancy of an Indian. We have seen in Jyotsna's case itself that, the Tribunal adopted the figure 60 as the life expectancy while the High Court in that case arrived at 65 years and the Supreme Court fixed life expectancy, having regard to the improvement in the living conditions, etc., at 70 years. Our attention was drawn 'specifically by Sri Balakrishna to the fact that in Rajendra Kumari's case (supra) the Supreme Court fixed the age of a healthy Indian. It is undoubtedly so, but then it is an educated guess made by the Judge or Judges constituting the Bench or individual, as the case may be. The Court or the Tribunal, without reference either in regard to the evidence or with any statistical data available which the Court may rely upon and take judicial notice is left without any choice. But we do find that in the two Supreme Court decisions, namely, Jyotsna's case and Rajendra Kumari's case one of the

> Judges is common to both the cases. Therefore, judicial propriety demands that we make no further comment on the figure arrived at by the Supreme Court."

Hence, the decision in Rajendra Kumari's case (supra) cannot be regarded as 'law declared' which will have the effect of over-ruling the 'law declared' by the Division Bench of this Court in Bhandary's case (supra) as to the 'operative multiplier' principle applicable in making the choice of multiplier for fixing the total loss of dependency of the dependants of a victim of a motor accident in fatal accident's action.

6. If regard is given to the view we have taken that the Division Bench decision of this Court rendered by Bhandary's case (supra) contains the 'law declared as to the 'operative multiplier' principle applicable in making the choice of multiplier for fixing the total toss of dependency of the dependants of a victim of a motor accident in a fatal accident's action when the Supreme Court decisions in Jyotsna Dey's case (supra) and Rajendra Kumari's case (supra) do not contain any 'law declared' as to the 'operative multiplier' principle, it follows that the decisions in Jyotsna's Dey's case (supra) and Rajendra Kumari's case (supra) cannot be regarded as decisions which impliedly over-rule the Division Bench decision of this Court in Bhandary's case (supra).

7. In the result, the answer of this Full Bench to the question set out in the beginning of this Opinion is the following:

> "The decision of this Court in H.T. Bhandary v. Muniyamma [IL.R 1985(2) Karnataka 2337] does not stand overruled by the decisions of the Supreme Court in Rajendra Kumari v. Shanta Trivedi and in Jyotsna Dey and Ors. v. State of Assam and Ors. [1987(1) ACJ 172]. Contrary View taken in the Division Bench decision of this Court in General Manager, Karnataka State Road Transport Corporation v. Khatujabee stands over-ruled."